

people in the world. There is high-tech research and development in almost every direction, and the nation's largest and most growing industry, the federal government, just minutes away.

It also has some of America's best architecture and whole square blocks of empty housing and a redeveloped harbor area that attracts millions of visitors every year.

Yet despite all these advantages, the city has been in decline for three-quarters of a century, with a rapid, almost terminal decline over the last two decades. The population has been cut in half. Even poor people have moved out. Followed by the rats. The public schools are largely dysfunctional. And real estate prices, adjusted for inflation, have been in a slump since 1927.

That is not to say that there still aren't nice areas in the city. There are also many good people doing good work. And there are many profitable enterprises, too. But if the city of Baltimore had been a stock, you should have sold in the run up of the 1920s—and stayed away ever since.

Nevertheless, we have made Baltimore our home, both for ourselves and our business. We work in mansions that no one else wanted that are inefficient for office use, but nevertheless bring a certain charm and graciousness to business life. We have fixed up more than a half-dozen of these buildings. We have never tried to sell one.

After having renovated properties in Maryland, we were ready to take on projects overseas. So far, we have worked on two semi-abandoned chateaux and a tumbledown ranch house in Argentina.

But we are under no illusions that these are good investments. They are a hobby. They are fun. They engage the family in projects that don't make money, but that do lock up family money.

But the general rule is this: The more the property is attractive, the less it is a good investment.

That general rule applies to business in this way: The more the business is prestigious, the less it is profitable. And the easier it is, too, the harder it is to make money in it—which we explore in Chapter 4.

Notes